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Harlow & Finch Ltd

Management Letter

For the period 17 August 2026 to 06 October 2026

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Financial Summary

Item	Amount
Total Income	**£44,700.00**
Total Expenses	**(£67,725.08)**
Net Loss	**£23,025.08**
Transactions in Period	50

Top Expense Categories

Category	Total	% of Expenses
Wages & Salaries	**(£9,800.00)**	14.5%
Employer NIC Payable	**(£7,200.00)**	10.6%
Legal Expenses	**(£6,500.00)**	9.6%
VAT	**(£5,600.00)**	8.3%
Loan Repayment	**(£4,800.00)**	7.1%

Largest Transactions

Date	Description	Amount
2026-09-26	BARCLAYS REVOLVING CREDIT	**£28,000.00**
2026-08-31	CLIENT PAYMENT JOHNSON CO	**£12,500.00**
2026-10-06	REF: PAYROLL OCT 2026	**£9,800.00**
2026-10-04	HMRC NIC EMPLOYER	**£7,200.00**
2026-09-21	KNIGHTS SOLICITORS LLP	**£6,500.00**

Executive Summary

Cash movements for the quarter show receipts well below payments, but the headline is not an operating loss: receipts include a revolving credit drawdown and an Innovate UK grant, and payments include the PAYE, employer NIC and VAT settlements for the previous period together with a loan instalment. Stripping those out, trading activity is modest and broadly in line with a small professional practice between client billing cycles.

Income Analysis

Trading income rests on a single client settlement, which leaves the quarter exposed to the timing of one invoice. The grant receipt is non-recurring and should be ring-fenced against the project it funds. The facility drawdown is financing rather than income and will need to be presented as such in the statutory accounts.

Expense Analysis

Staff costs and the related HMRC settlements are the largest outflows, as expected for a people-led business. Legal and audit fees are concentrated in this quarter and should fall away next period. The remaining spend is a long tail of software subscriptions, insurance, premises and travel, none of which looks out of line, though two of the larger supplier payments were coded to general expenses and are worth a second look before sign-off.

Cash Flow Observations

Working capital was supported by the credit facility this quarter; without it the closing cash position would have been negative. Payroll and HMRC liabilities fall on fixed dates, so the practice should hold at least one month of those commitments in cash. The reconciliation shows a small number of statement lines without a matching record, which should be cleared before the quarter is filed.

Recommendations

Agree a billing schedule with the main client so that receipts arrive monthly rather than in one settlement.

Review the two general-expense payments and the contractor invoice flagged for review, and record the reasoning in the audit trail.

Present the facility drawdown and the grant separately from trading income in the management accounts, and set aside the VAT element of the quarter's sales as it is invoiced.